

INSURANCE AND PENSIONS COMMISSION



FOURTH QUARTER REPORT

FOR

SELF ADMINISTERED PENSION FUNDS

FOR THE YEAR ENDED 31 DECEMBER 2016

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2.0 Industry Overview

This report is based on 16 standalone funds, 4 fund administrators and 3 life assurers for the year ended 31 December 2016. The 3-life assurer administers a total of 32 self-administered pension funds while fund administrators managed 133 funds.

For the current reporting period, standalone self-administered funds reported a 10% growth in contributions to close the year 2016 at \$355million (December 2015: \$323million). However, 77% or \$273million of the contributions were in arrears (December 2015:73% or \$235million). Fund Administrators recorded the highest arrear contributions of \$272 million for the year ending 31 December 2016.

Insurer self-administered funds reported a slight decrease of 6% in contributions to close the year 2016 at \$85million (December 2015: \$90million). However, 41% or \$35million of the contributions were in arrears (December 2015:44% or \$40million).

Collected contributions by all the four administrators remained flat at \$186million from the comparative period last year. Standalone and insurer administrators reported a slight decrease in contributions received. IPEC continues to engage sponsoring employers and monitor their funding plans for arrears (defined contribution funds) and any actuarial deficits (defined benefit).

Furthermore, professional administrators realized an 18% growth in contributions to close the reporting period at \$98million (December 2015: \$83million). Contributions arrears were 44% or \$43million of total contributions (December 2015:43% or \$36million).

Total income (contributions inclusive of investment income) was \$340million (December 2015:275million). Insurer administered funds recorded the highest income growth of 80% for the period followed by fund administrators with 48% growth. The industry reported a 23% expense-to- contribution ratio similar to the comparative period last year while the expense-to- total income ratio shed 3% to close the year 2016 at 13%.

Total assets increased from \$2.13billion reported previously to \$2.33 billion as at year end. The asset base was constituted as follows: standalone funds (\$1.39billion or 60%), insurer administrators (16% or \$386million) and fund administrator- \$568million or 24%). Standalone pension funds invested 45% of their investment portfolios in properties, insurer self-administered invested 40% of them in equities and Fund administrators invested 52% of funds' portfolios in equities. Funds invested 6% of their assets in prescribed instruments (See Table 1 below).

Table 1: Financial Summary for Self-Administered Funds for the year ended 31 December 2016 (Unaudited)

Item	Standalone Funds			Insurer Administered			Fund Administrators			TOTALS		
	Dec-15	Dec-16	% Growth	Dec-15	Dec-16	% Growth	Dec-15	Dec-16	% Growth	Dec-15	Dec-16	% Growth
Arrear Contributions (\$000)	235,702	272,521	16%	40,024	34,982	-13%	35,515	43,251	22%	311,241	350,754	13%
Total Contributions (Incl.Arrears)(\$000)	323,479	354,762	10%	90,334	84,500	-6%	82,956	97,561	18%	496,769	536,823	8%
Total Contributions (Excl. Arrears) (\$000)	87,778	82,241	-6%	50,310	49,518	-2%	47,506	54,310	14%	185,594	186,069	0%
Total Income (\$000)	147,290	136,331	-8%	44,454	79,905	80%	83,743	123,556	48%	275,487	339,792	23%
Total Benefits (\$000)	83,016	109,635	32%	22,398	25,670	15%	41,848	45,571	9%	147,262	180,876	23%
Total Expenses (\$000)	19,775	17,640	-7%	12,550	7,917	-37%	10,655	17,198	61%	42,980	42,755	-1%
(Expense/ Contributions Excl arrears)%	23%	21%	-9%	25%	16%	-36%	22%	32%	45%	23%	23%	0%
(Expense/Total Income)%	13%	13%	0%	28%	10%	-64%	13%	14%	8%	16%	13%	-19%
Total Assets (\$000)	1,341,747	1,392,222	4%	324,393	365,849	13%	460,513	568,370	23%	2,126,653	2,326,441	9%
Prescribed Assets (\$000)	62,359	55,309	-11%	17,724	32,120	81%	19,968	58,649	193%	100,051	146,078	46%
Prescribed Asset Ratio (%)	5%	4%	-20%	5%	9%	80%	4%	10%	150%	5%	6%	20%



SECTION A

STAND ALONE PENSION FUNDS

3.0 The Number of Standalone Self-Administered Pension Funds

This report is based on 16 standalone funds (See Table 1, below). Funds which failed to submit their returns on time were fined in terms of the act.

Table 1: Standalone Self-Administered Pension Funds

Fund Name	
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
Pentact Pension Scheme	1
Unified Councils Pension Fund	1
ZB Financial Holdings P/Fund	1
ZMDC	1
ZESA Pension Fund	1
Zimbabwe Electricity Pension Fund	1
GMB Pension Fund	1
Motor Industry Pension Fund	1
Specialized Business Machines	1
TOTAL	16

4.0 Pension Fund Membership

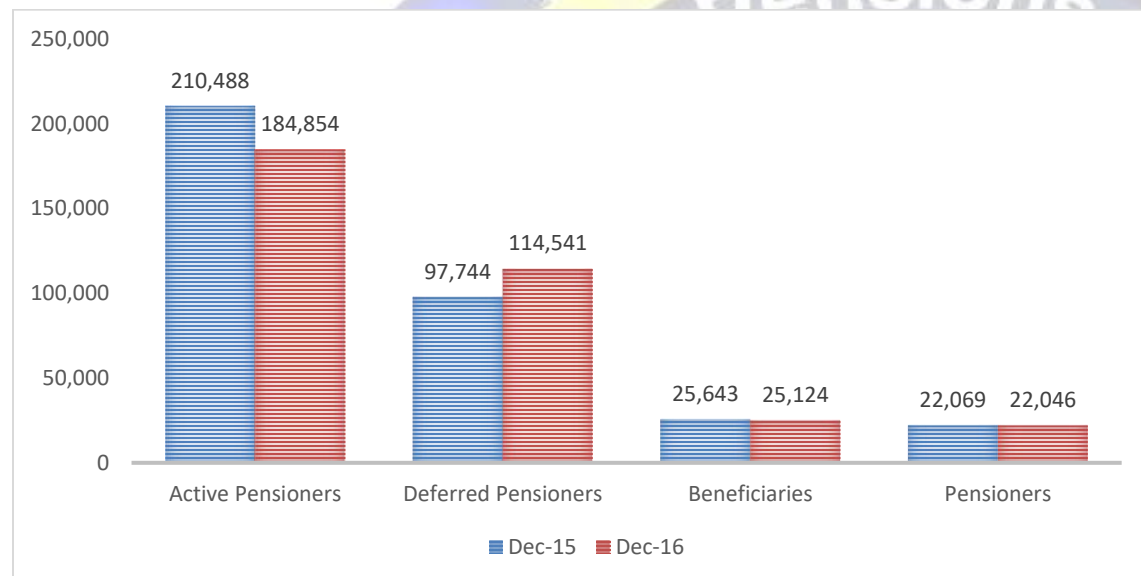
Total fund membership fell by 24% from the prior year figure of 344,198 as at year ending December 2015 to 262,085 at the year ending December 2016. This could be due to the company closures that are taking place in the economy or retrenchments. Active members constituted 54% or 184,854(December 2015:61% or 210,000), deferred pensioners rose from 19% or 97,744 at the end of

2015 to 33% or 114,541 at the end of 2016, pensioners numbered 25,124 or 7%(December 2015: 6% or 25,643) whilst the balance of 6% or 22,000 was made up of beneficiaries (widows and others) (See Table 2 and Figure 1, below).

Table2: Membership per Standalone Fund for the year ended 31 December 2016

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
Catering IPF	14,696	13,954	-5%	21,534	40,815	90%	159	159	0	0	0	0%	0	0	0%	36,389	54,928	51%
Clothing IPF	14,286	14,254	0%	10,313	11,030	7%	0	0	0	0	0	0%	-446	-230	-48%	25,045	25,514	2%
CAIPF	2,924	2,868	-2%	4,212	4,212	0%	1,769	1,833	4%	2,776	2,832	2%	-365	0	-100%	11,681	11,745	1%
CIPF	65,904	47,337	-28%	5,975	6,097	2%	71	64	-10%	120	116	-3%	-788	-420	-47%	63,070	53,624	-15%
CFI P/F	*	602		*	0		*	0		*	0		*	-56		*	602	
LAPF	18,407	18,213	-1%	0	0		5,202	5,310	2%	7,488	7,294	-3%	-73	-69	-5%	31,097	30,817	-1%
MIPF	25,592	22,594	-12%	46,581	45,985	-1%	8,706	9,395	8%	1,350	1,423	5%	-2,309	-659	-71%	82,229	79,397	-3%
NRZ	5,774	5,134	-11%	2,037	2,280	12%	4,947	5,120	3%	6,935	7,098	2%	-80	-127	59%	19,693	19,632	0%
Pentact	3	3	0%	0	0	0%	0	0	0%	0	0	0%	0	0	0%	3	3	0%
Unified Councils P/F	5,309	5,323	0%	13	29	123%	1	105	10400%	0	1	100%	-23	-182	691%	5,323	5,458	3%
ZB FHGPF	2,647	640	-76%	3,502	892	-75%	1,457	226	-84%	692	141	-80%	-12	-21	75%	8,298	1,899	-77%
ZESA PF	0	0		2,890	2,540	-12%	2,486	2,017	-19%	2,085	2,704	30%	0	0		4,571	7,261	59%
Z/lectrical Industry P/F	6,740	6,585	-2%	0	0	0%	580	783	35%	246	335	36%	0	0	0%	7,566	7,703	2%
GMB	1,930	674	-65%	686	689	0%	27	32	19%	0	0		-63	-22	-65%	2,643	1,395	-47%
Motor Ind	46,098	46,508	1%	0	0		165	110	-33%	299	25	-92%	0	0	0%	46,263	46,643	1%
ZMDC	173	160	-8%	0	0		73	75	3%	78	78	0%	0	0	0%	324	313	-3%
Specialized Bus M	5	5	0%	1	1	0%	0	0	0%	0	0	0%	0	0	0%	6	6	0%
Totals	210,488	184,854	-15%	97,744	114,541	17%	25,643	25,124	-2%	22,069	22,046	0%	-1,850	-1,604	-13%	344,198	346,565	-24%

Figure 1: Membership for Standalone Funds for the year ended 31 December 2016



5.0 Contributions

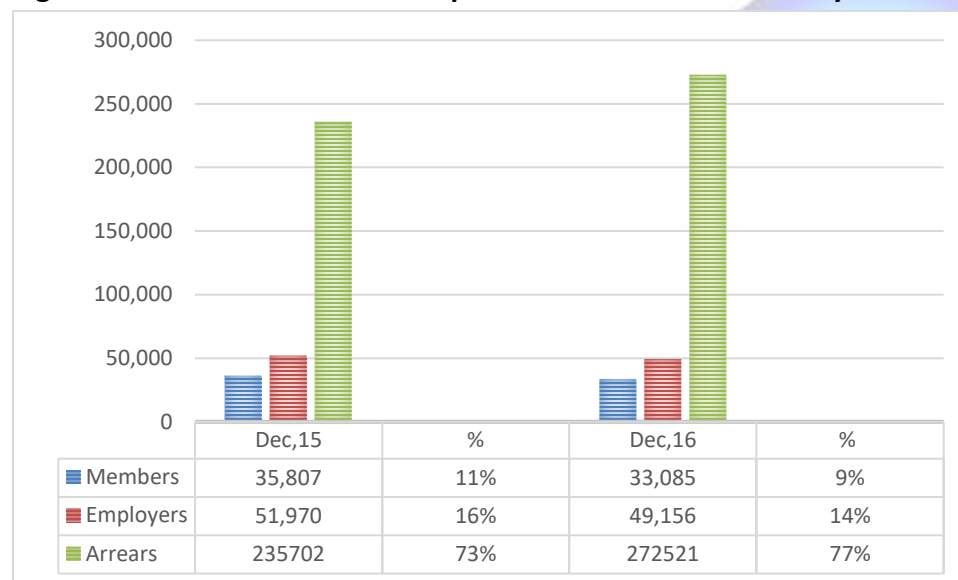
Employers contributed \$49million or 14% of total contributions (December 2015:16% or \$52million) whilst active members paid \$33million or 9% of total contributions (December 2015:16% or \$52million). The total contributions inclusive of arrears as at December 2016 were \$355 million. The Commission, however, noted that 77% of contributions were arrears at \$273 million (December 2015:73% or \$236million) due to liquidity challenges. IPEC continues its engagement efforts with sponsoring employers and fund administrators

in an effort to rectify this challenge. Payment plans have been approved and some parastatal pension funds may need to convert from Defined Benefit to defined contribution in line with emerging trends (See table 3 and figure 2, below).

Table 3: Contributions Statistics per Standalone Fund for the year ended 31 December 2016

Fund Name	Contributions (\$000)						Arrear Contributions (\$000)						Total Contributions (\$000)		
	Members			Employers			Members			Employers					
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
Catering IPF	1,190	1,047	-12%	1,190	1,047	-12%	0	0	0%	446	599	34%	2,826	2,693	-5%
Clothing IPF	651	967	49%	912	1,354	48%	438	451	3%	1,922	1,845	-4%	3,923	4,617	18%
CAIPF	244	238	-2%	751	728	-3%	3,060	490	-84%	21,425	30,055	40%	25,480	31,511	24%
CIPF	1,602	1,658	3%	1,602	1,658	3%	0	0	0%	155	49	-68%	3,359	3,365	0%
LAPF	7,519	7,348	-2%	21,753	21,252	-2%	0	0	0%	144,579	171,181	18%	173,851	199,781	15%
MIPF	15,894	14,308	-10%	15,815	14,323	-9%	806	690	-14%	209	1,342	542%	32,724	30,663	-6%
NRZ	3,232	2,773	-14%	0	0	0%	0	0	0%	2,418	3,356	39%	5,650	6,129	8%
Pentact	0	1	0%	0	1	0%	0	0	0%	0	0	0%	0	2	0%
UC P/F	1,096	978	-11%	1,644	1,467	-11%	0	874	0%	15,068	23,543	56%	17,808	0	-100%
ZB FHGPF	563	562	0%	830	807	-3%	0	0	0%	0	0	0%	1,393	1,369	-2%
ZESA P/F	0	0	0%	0	0	0%	0	0	0%	0	0	0%	0	0	0%
Z/ElectIndustry	1,201	1,801	50%	2,551	3,827	50%	9,938	0	-100%	23,668	46,625	97%	37,358	52,253	40%
GMB	345	170	-51%	1,496	672	-55%	829	0	-100%	5,095	6,729	32%	8,594	7,571	-12%
Mot Ind P/F	2,247	2,211	-2%	3,368	3,311	-2%	1,411	1,779	26%	2,116	4,447	110%	9,142	11,748	29%
ZMDC	22	0	-100%	56	174	211%	0	0	0%	2,119	2,883	36%	2,197	3,057	39%
SBM	1	1	0%	2	2	0%	0	0	0%	0	0	0%	3	3	0%
Total	35,807	33,085	-5%	51,970	49,156	-3%	16,482	3,410	-74%	219,220	269,111	33%	323,479	354,762	10%

Figure 2: Contributions Statistics per Standalone Fund for the year ended 31 December 2016(\$000)



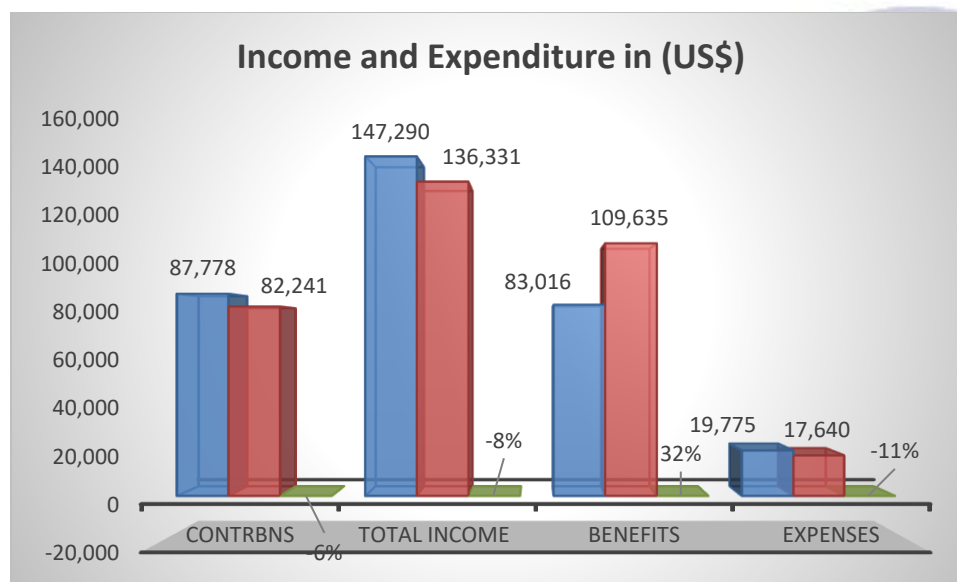
6.0 Income and Expenditure

For the year under review, total contributions received by Standalone funds fell by 6% to \$82million from \$88million reported in 2015. Total expenses declined by 11% from \$20million to \$18million for the period under review. Expense-to -contribution and expense to total income ratios were 21% and 13% in 2016 respectively. The Commission's target limit for these cost ratios is 10% as high cost ratios deplete member values and benefits. Benefit payouts grew by 32% to close the year at \$110million (December 2015: \$83million). This was partly due to fund dissolutions and commutation applications by members (See Table 4 and Figure 3 below).

The Regulator encourages administrators to institute+ cost management mechanisms in order to attain the 10% target limit.

Table4: Income and Expenditure per Standalone Fund for the year ended 31 December 2016 (\$000)

Fund Name	Total Contributions (Excl arrears)			Total Income (\$000)			Total Paid Benefits (\$000)			Expenses (\$000)			(Expenses/Contributions)			(Expenses/Total Income) %		
	Dec-15	Dec-16	%	Dec-15	Dec-16	%	Dec-15	Dec-16	%	Dec-15	Dec-16	%	Dec-15	Dec-16	%	Dec-15	Dec-16	%
Catering IPF	2,380	2,094	-12%	3,566	3,676	3%	1,376	1,148	-17%	1,194	599	-50%	50%	29%	-21%	33%	16%	-17%
Clothing IPF	1,563	2,321	48%	2,497	3,729	49%	446	331	-26%	1,335	1,284	-4%	85%	55%	-30%	53%	34%	19%
CAIPF	995	966	-3%	11,449	3,728	-67%	12,023	2,957	-75%	2,474	1,361	-45%	249%	141%	-108%	22%	37%	15%
CIPF	3,204	3,316	3%	2,931	5,003	71%	1,287	1,107	-14%	1,851	1,598	-14%	58%	48%	-10%	63%	32%	31%
LAPF	29,272	28,600	-2%	38,221	37,227	-3%	20,833	24,039	15%	1,977	1,832	-7%	7%	6%	-1%	5%	5%	0%
MIPF	31,709	28,631	-10%	44,952	46,103	3%	14,793	16,558	12%	3,593	5,559	55%	11%	19%	8%	8%	12%	4%
NRZ	3,232	2,773	-14%	19,305	10,765	-44%	23,590	26,201	11%	2,347	2,327	-1%	73%	84%	11%	12%	22%	10%
ZB Holdings P/F	1,393	1,369	-2%	2,575	1,613	-37%	1,158	1,734	50%	190	36	-81%	14%	3%	-11%	7%	2%	-5%
Pentact	0	2	0%	0	25	0%	0	0	0%	0	0	0%	0%	0%	0%	0%	0%	0%
Unified Councils P/F	2,740	2,445	-11%	4,301	4,575	6%	335	541	61%	2,244	2,149	-4%	82%	88%	6%	52%	47%	5%
Zimbabwe Electricity	3,752	5,628	50%	4,998	8,249	65%	331	317	-4%	397	416	5%	11%	7%	-4%	8%	5%	-3%
ZESA Pension Fund	0	0	0%	3,355	3,906	16%	2,083	31,340	1405%	180	474	163%	0%	0%	0%	5%	12%	7%
GMB	1,842	842	-54%	2,682	1,895	-29%	204	198	-3%	650	646	-1%	35%	77%	42%	24%	34%	10%
Motor Ind	5,615	5,522	-2%	5,722	9,428	65%	4,096	3,494	-15%	1,267	1,474	16%	23%	27%	5%	22%	16%	-8%
ZMDC	78	174	123%	731	979	34%	461	211	-54%	56	32	-43%	72%	18%	-54%	8%	3%	-5%
S/ Buss Machines	3	3	0%	5	5	0%	0	0	0%	0	2	0%	0%	67%	67%	0%	40%	40%
Totals	87,778	82,241	-6%	147,290	136,331	-8%	83,016	109,635	32%	19,775	17,640	-11%	23%	21%	-2%	13%	13%	0%



7.0 Fund Assets for standalone pension funds as at 31 December 2016

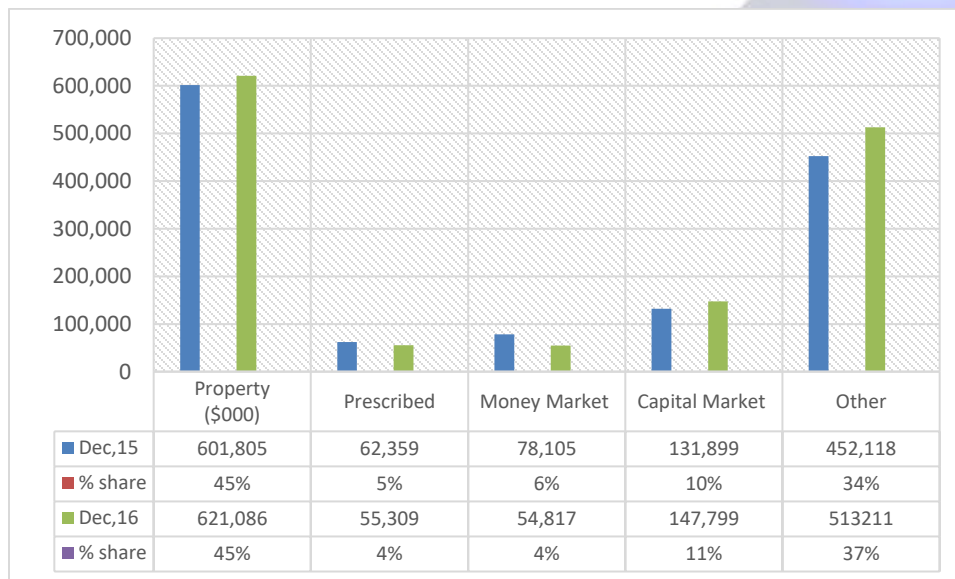
As at 31 December 2016, Standalone pension funds' asset base included 45% or \$621million investments in properties (December 2015:45% or \$602million), equities {11% or \$148million: December 2015, 10% or \$132million}, money market {\$55 million or 4%: December 2015:6% or \$78million} and other assets {37% or \$513million: December 2015:34% or \$452million}. The other assets are inclusive of arrear contributions, cash at bank and office furniture. The balance of \$55million or 4% was in prescribed assets (December 2015:5% or \$62million). Pension funds are required by current regulations to subscribe at least 10% of their asset base in prescribed assets. Only fund administrators were compliant with 10% minimum prescribed assets requirement.

Further, investments must be done in terms of Circular 1 of 2013 and Circular 1 of 2016 (asset-liability matching) (See Table 5 and Figure 4, below). The Commission encourages all players to fully comply with the prescribed asset statutory requirement.

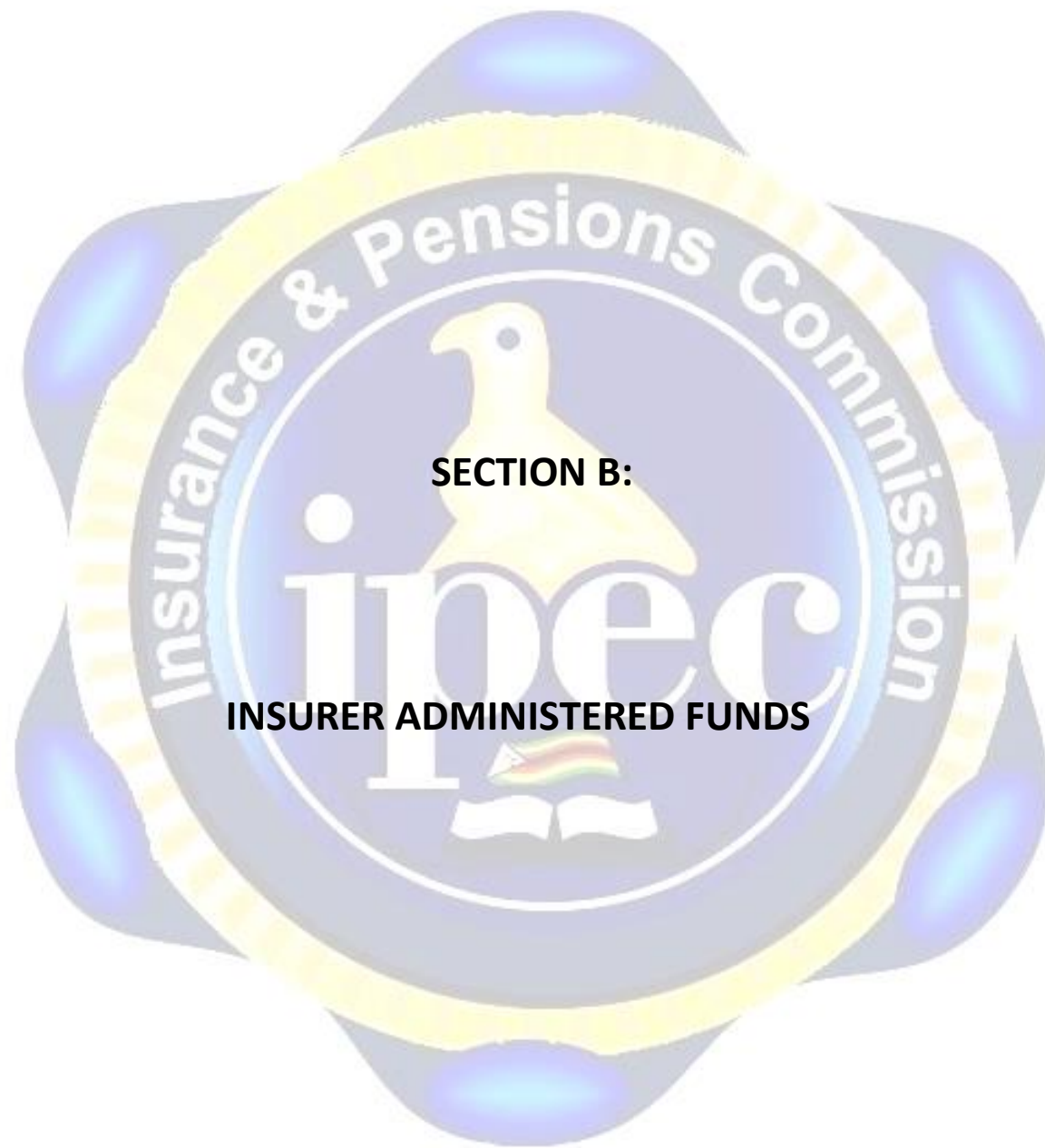
Table 5: Fund Asset Values for Standalone Pension Funds as at 31 December 2016\$(000)

Fund Name	Immovable (\$000)			Property	Prescribed (\$000)		Assets	Money (\$000)	Market	Securities	Capital (\$000)	Market	Securities	Other (\$000)			Total (\$000)		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	
Catering IPF	8,972	9,049	1%	72	978	1258%	143	146	2%	4,840	4,843	0%	1,595	1,925	21%	15,622	16,941	8%	
Clothing IPF	10,845	10,872	0%	167	472	183%	3,044	2,736	-10%	529	2,515	375%	5,203	2,939	-44%	19,788	19,534	-1%	
CAIPF	61,255	90,649	48%	10,744	7,144	-34%	4,374	8,328	90%	6,469	4,906	-24%	40,260	57,897	44%	123,102	168,924	37%	
CIPF	17,237	17,502	2%	513	437	-15%	0	0	0%	6,215	8,702	40%	2,200	2,442	11%	26,165	29,083	11%	
LAPF	82,165	82,165	0%	0	403	0%	0	0	0%	27,043	27,044	0%	152,969	182,378	19%	262,177	291,990	11%	
						0%			0%			0%			0%			0%	
MIPF	96,665	96,655	0%	12,379	8,009	-35%	6,890	6,294	-9%	39,227	59,354	51%	4,242	3,999	-6%	159,403	174,311	9%	
NRZ	227,732	219,770	-3%	12,338	12,338	0%	4,896	7,213	47%	13,318	13,142	-1%	167,512	140,148	-16%	425,796	392,611	-8%	
Pentact	0	0	0%	0	0	0%	218	229	5%	6	9	50%	0	0	0%	221	239	8%	
UC P/F	7,025	6,990	0%	111	305	175%	321	0	0%	9	9	0%	0	23,542	0%	22,932	30,846	35%	
ZB FHGPF	18,557	4,824	-74%	8,702	1,510	-83%	33,151	7,606	-77%	13,867	6,093	-56%	264	206	-22%	74,541	20,239	-73%	
Z/Electricity	33,527	41,061	22%	7,000	13,742	96%	18,150	14,000	-23%	3,972	3,392	-15%	58,262	73,036	25%	120,911	145,231	20%	
ZESA P/F	23,360	20,420	-13%	2,700	4,739	76%	2,160	1,440	-33%	4,173	3,345	-20%	10,244	7,474	-27%	42,637	37,418	-12%	
GMB	3,947	9,477	140%	0	0	0%	2	149	7350%	0		0%	2,391	7,431	211%	6,338	17,057	169%	
Motor Ind	8,944	10,078	13%	5,969	5,129	-14%	4,744	6,346	34%	12,047	14,284	19%	4,050	5,134	27%	35,754	40,971	15%	
ZMDC	1,574	1,574	0%	1,661	100	-94%	0	314	0%	177	151	-15%	2,926	4,660	59%	6,338	6,799	7%	
S. Buss Machines	0	0	0%	3	3	0%	12	16	33%	7	10	43%	0	0	0%	22	29	32%	
Totals	601,805	621,086	3%	62,359	55,309	-11%	78,105	54,817	-30%	131,899	147,799	12%	452,118	513,211	14%	1,341,747	1,392,222	4%	

Figure 4: Fund Asset Values for Standalone Pension Funds as at 31 December 2016\$(000)



Other assets constitute of cash at bank, debtors and all other assets not reported in their individual classes.



SECTION B:

INSURER ADMINISTERED FUNDS

1.0 The Number of Insurer Self-Administered Pension Funds

This report covers 32 funds administered by 3 insurers (See Table 1, below).

Table 1: Fund Administrators

Insurer	Dec 2015	Dec 2016	Increase in No. of Funds
First Mutual	5	5	0
Old Mutual	25	25	0
Zimnat	2	2	0
TOTALS	32	32	0

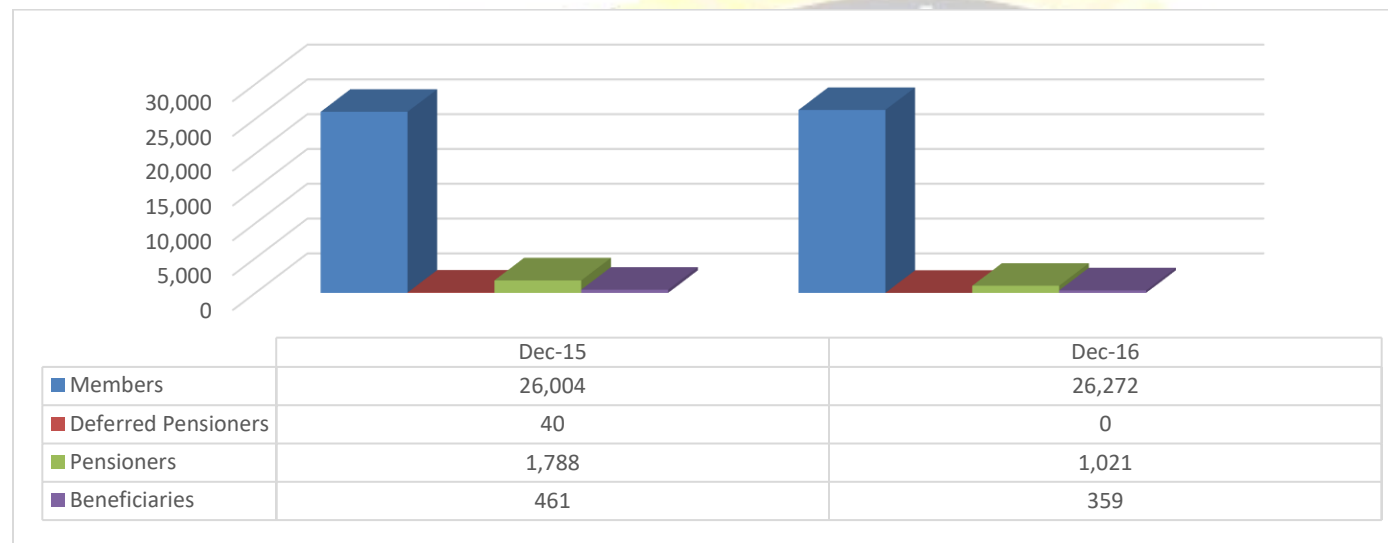
2.0 Pension Fund Membership

For the year ended 31 December 2016, total fund membership for insurer administered funds was 27,652 (December 2015: 28,296), a slight reduction from the previous year. Active members numbered 26,772 or 95% (December 2015: 26,004 or 93% of total membership), pensioners 4% or 1021 (December 2015: 6% or 1,788) and the minority percentage of 1% comprised beneficiaries' members (See Table 2 and Figure 1, below).

Table 2: Membership for Insured Self-Administered Pension Funds for the year ended 31 December 2016

Insurer	No. of Active members			No. of Deferred Pensioners			No. of Former members/Pensioners			No. of Widows & Others			No. of Exits			Total Membership		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
First Mutual	4,402	4,515	3%	0	0	0%	0	48	100%	0	5		-385	-106	-72%	4,402	4,568	4%
Old Mutual	21,415	21,566	1%	43	0	-100%	1,788	973	-46%	461	354	-23%	1,129	-1,069	-195%	23,707	22,893	-3%
Zimnat	187	191	2%	0	0	0	0	0		0	0		0	0		187	191	2%
Totals	26,004	26,272	1%	43	0	-100%	1,788	1,021	-43%	461	359	-22%	744	-1,175	-258%	28,296	27,652	-2%

Figure 1: Membership Statistics for Insured Self-Administered Funds for the year ended 31 December 2016



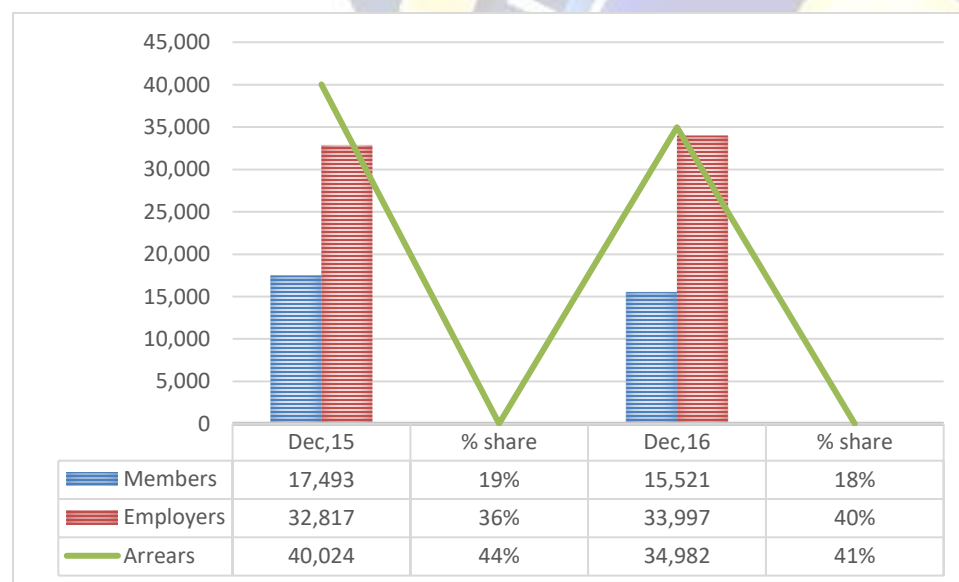
2.0 Contributions

For the year under review, employers contributed \$34million or 41% of total contributions (December 2015: \$33million or 36%).Members, on the other hand, contributed \$16 million or 18 %(December 2015: \$17million or 19%) of total contributions. However, contribution arrears closed the year 2016 at \$35million or 41% of total contributions (December 2015:44% or \$40million). This demonstrates some slight progress on IPEC's efforts to ensure full payment of contributions due (See Table 3 and Figure 2below).

Table 3: Contributions Statistics for Insured Self-Administered Funds for the year ended 31 December 2016

Insurer	Contributions \$000						Arrear Contributions \$000						Total Contributions \$000		
	Members			Employers			Members			Employers					
	Dec-15	Dec-16	Growth	Dec 15	Dec 16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
First Mutual	6,546	4,858	-26%	9,405	10,820	15%	0	0	0%	30,572	28,278	-8%	46,523	43,956	-6%
Old Mutual	10,679	10,402	-3%	22,984	22,769	-1%	0	0	0%	9,424	6,675	-29%	43,087	39,846	-8%
Zimnat	268	261	-3%	428	408	-5%	0	0	0%	28	29	4%	724	698	-4%
Totals	17,493	15,521	-11%	32,817	33,997	4%	0	0	0%	40,024	34,982	-13%	90,334	84,500	-6%

Figure 2: Contribution Statistics for Insured Self-Administered Funds for the year ended 31 December 2016(000)



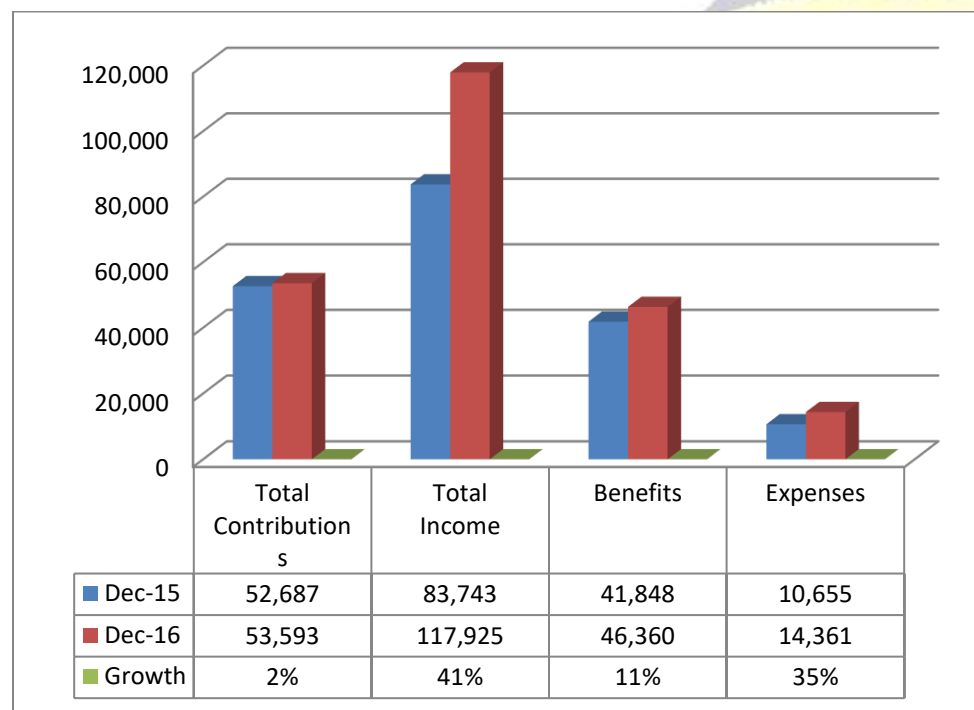
4.0 Income and Expenditure

For the current review period, contributions received by insurers almost remained flat at \$50million. Total income however tremendously grew by 80% to \$80 million (December 2015: \$44million). The expense to contribution ratio was 16% as compared to the previous 25%. Expense to total income ratio was 10%, a decrease of 18% from the previous reporting period. To this end, IPEC has noted efforts by insurers to rationalize their cost structures. This promotes and protects fund member values and benefits especially in the current challenging operating environment (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self-Administered Funds for the year ended 31 December 2016

Insurer	Total Contributions (Excl arrears) \$000			Total Income \$000			Total Paid Benefits \$000			Expenses \$000			(Expenses/Contributions) %			(Expenses/Total Income) %		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
First Mutual	15,951	15,678	-2%	16,458	19,370	18%	7,106	6,635	-7%	5,481	1,187	-78%	34%	8%	-26%	33%	6%	-27%
Old Mutual	33,663	33,171	-1%	27,023	59,668	121%	14,919	18,626	25%	6,750	6,596	-2%	20%	20%	0%	25%	11%	-14%
Zimnat	696	670	-4%	973	867	-11%	373	409	10%	319	135	-58%	46%	20%	-26%	33%	16%	-17%
Totals	50,310	49,519	-2%	44,454	79,905	80%	22,398	25,670	15%	12,550	7,917	-37%	25%	16%	-9%	28%	10%	-18%

Figure 3: Income and Expenditure for Insured Self-Administered Funds for the year ended 31 December 2016 (\$000)



5.0 Fund Assets

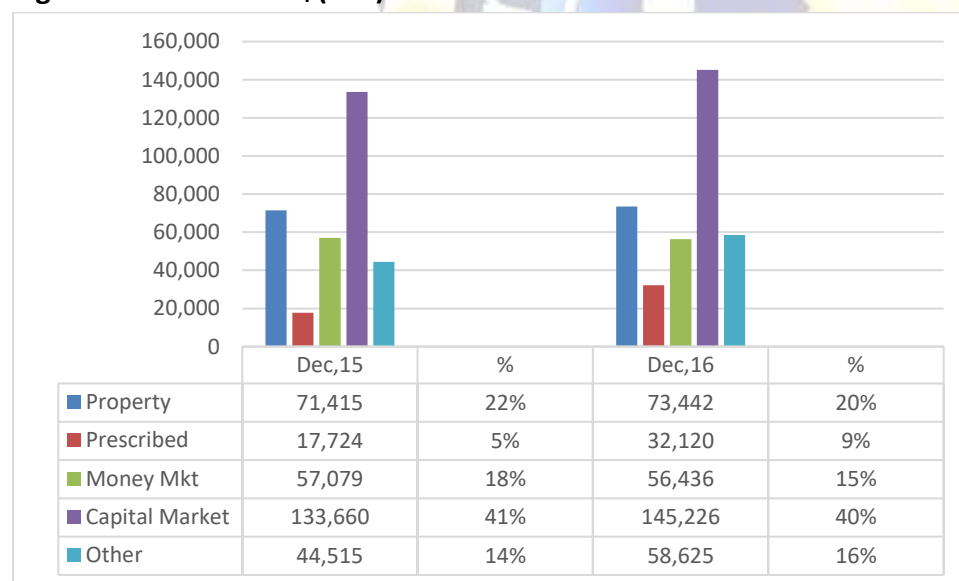
As at 31 December 2016, insurer administered funds reported investments in the following asset classes -in properties {20% or \$73million, December 2015: 22% or \$71million}, equities {40% or \$145million, December 2015: 41% or \$144million, }, money market

{15% or \$56million,December 2015: 18% or \$57million} and other assets {\$59million or 16%,December 2015:14% or \$45million}.Prescribed assets uptake was at 9% against a minimum of 10% (See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Insured Self-Administered Funds for the year ended 31 December 2016

Fund Name	Immovable Property (\$000)			Prescribed Assets (\$000)			Money Market Securities (\$000)			Capital Market Securities (\$000)			Other (\$000)			Total(\$000)		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
First Mutual	15,059	15,955	6%	470	3,518	649%	2,454	0	-100%	20,221	11,667	-42%	30,572	46,805	53%	68,776	77,945	13%
Old Mutual	56,356	57,487	2%	16,866	28,262	68%	53,569	55,490	4%	111,501	130,990	17%	13,814	11,451	-17%	252,106	283,680	13%
Zimnat	0	0	0	388	340	-12%	1,056	946	-10%	1,938	2,569	33%	129	369	186%	3,511	4,224	20%
Totals	71,415	73,442	3%	17,724	32,120	81%	57,079	56,436	-1%	133,660	145,226	9%	44,515	58,625	32%	324,393	365,849	13%

Figure 4: Fund Assets \$(000) as at 31 December 2016





SECTION C:

FUND ADMINISTRATORS

1.0 The Number of Fund Administrators

This report is based on 133 funds spread among four administrators (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	Dec 15	Dec 16	Increase/Decrease
Minerva Risk Advisors	59	56	-3
Comarton Consultants	27	29	+2
Marsh	45	45	0
ZIB	4	3	-1
TOTALS	135	133	-2

2.0 Pension Fund Membership

For the year ended 31 December 2016, the four fund administrators reported total fund membership of 73,725. The active members made up 60% or 44, 222(December 2015: 48,084 or 60%) of total membership, pensioners and beneficiaries numbered 11,146 or a 15% share (December 2015: 14 % or 10,815) whilst deferred pensioners constituted the balance of 25% or 18,357 (See Table 2 and figure 1 below).

Table 2: Membership for Self-Administered Funds for the year ended 31 December 2016

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
Minerva	20,797	16,035	-23%	11,364	12,603	11%	1,466	1,894	29%	899	1,074	19%	-2,251	-2,894	29%	34,526	31,606	-8%
Comarton	13,800	15,037	9%	88	108	23%	2,140	2,075	-3%	1,754	1,747	0%	-228	-126	-45%	17,782	18,966	7%
Marsh	13,351	12,992	-3%	5,761	5,646	-2%	2,999	2,853	-5%	1,557	1,504	-3%	-402	-100	-75%	23,668	22,995	-3%
ZIB	136	157	15%	0	0		0	0		0	0		-2	-5	150%	136	158	16%
Totals	48,084	44,222	-8%	17,213	18,357	7%	6,605	6,822	3%	4,210	4,324	3%	-2,883	-3,125	8%	76,112	73,725	-3%

2.0 Contributions

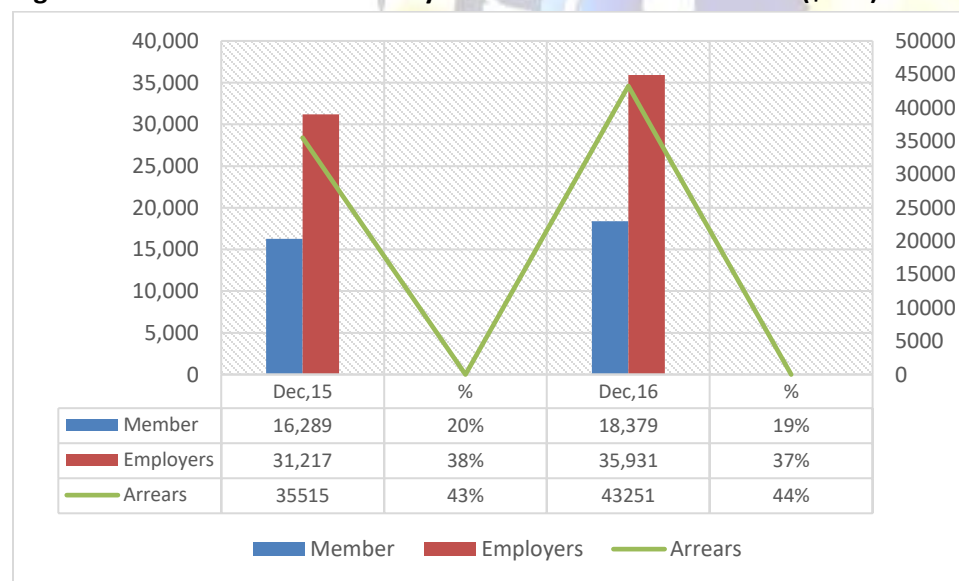
Active fund members contributed \$18 million or 19% of the total contributions (December 2015: \$16million or 20%) whilst employers contributed \$36million or 37 % (December 2015: \$31 million or 38 %) and contribution arrears constituted \$43million or 44% of total

contributions (December 2015: 23% or \$36million). The Commission closely monitors the challenge of default risk on contribution remittances periodically and trustees are encouraged to engage sponsoring employers with strategies to reduce arrears. (See Table 3 and Figure 2 below).

Table 3: Contributions Statistics for Funds Administrators for the year ended 31 December 2016

Fund Name	Contributions (\$000)						Arrear Contributions (\$000)						Total Contributions (\$000)		
	Members			Employers			Members			Employers					
	Dec-15	Dec-16	Growth	Dec 15	Dec 16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
Minerva	7,559	9,763	29%	14,444	19,790	37%	3,741	3,996	7%	3,742	7,993	114%	29,486	41,542	41%
Comarton	2,562	2,400	-6%	5,649	5,099	-10%	397	668	68%	17,058	19,852	16%	25,666	28,019	9%
Marsh	6,103	6,174	-1%	11,001	10,958	0%	0	0	0%	10,024	10,104	1%	27,128	27,236	-
ZIB	65	42	-35%	123	84	-32%	65	40	-38%	488	598	23%	676	764	13%
Total	16,289	18,379	13%	31,217	35,931	15%	4,203	4,704	12%	31,312	38,547	23%	82,956	97,561	18%

Figure 2: Contributions Statistics- year ended 31 December 2016 (\$000)



4.0. Income and Expenditure

For the year under review, total contributions and total income received by fund administrators amounted to \$54million and \$124 million respectively (2015: \$48million; \$84million). There was growth of 3% on collected contributions and 48% on total income yet expenses grew by 61% to close the period at \$17million. Cost -to- contribution ratios were therefore well above the target of 10% at 32%. The Commission continues to engage fund administrators to rationalize their costs appropriately. Benefits paid were in the sum of \$46million compared to \$42million reported for the same period last year (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self-Administered Funds for the year ended 31 December 2016

Administrator	Total Contributions (Excl arrears) \$000			Total Income (\$000)			Total Paid Benefits (\$000)			Expenses (\$000)			(Expenses/Contributions) %			(Expenses/Total Income) %		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
Minerva	22,003	29,553	34%	36,963	80,640	118%	21,106	27,352	30%	5,264	11,709	122%	24%	40%	16%	14%	15%	1%
Comarton	8,211	7,499	-9%	18,979	15,972	-16%	5,126	5,504	7%	4,419	2,149	-51%	54%	29%	-25%	23%	13%	-10%
Marsh	17,104	17,132	0%	27,594	26,818	-3%	15,603	12,714	-19%	959	3,317	246%	6%	19%	13%	3%	12%	9%
ZIB	188	126	-33%	207	126	-39%	13	1	-92%	13	23	77%	7%	18%	11%	6%	18%	12%
Totals	47,506	54,310	14%	83,743	123,556	48%	41,848	45,571	9%	10,655	17,198	61%	20%	32%	12%	13%	14%	1%

5.0 Fund Assets

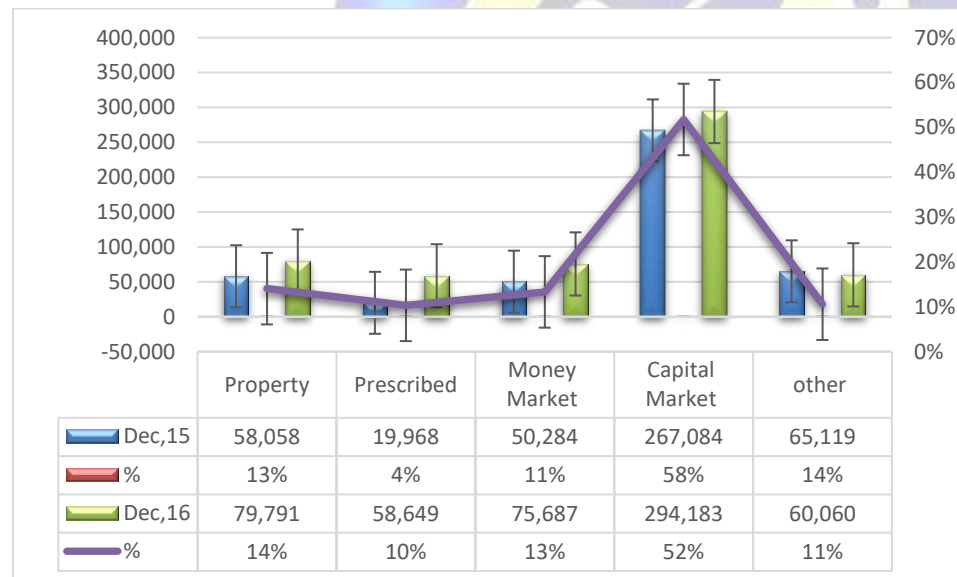
As at 31 December 2016, fund administrators reported a total asset base of \$568million (2015: \$461million). Properties constituted 14% or \$80million (December 2015: 13% or \$58million), 52% or \$294million in the capital market (December 2015: 58% or \$267million), money market 13% or \$76million (December 2015: 11% or \$50million), other assets-\$60million or 11% and the balance of 10% or \$59million was in prescribed assets (See Table 5 and Figure 4, below).

Table 5: Fund Assets at Market Value for Self-Administered Funds as at 31 December 2016 (\$000)

Fund Name	Immovable Property (\$000)			Prescribed Assets (\$000)			Money Market Securities (\$000)			Capital Market Securities (\$000)			Other (\$000)			Total (\$000)		
	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth	Dec-15	Dec-16	Growth
Minerva	11,854	27,953	136%	0	33,349	100%	11,110	44,862	304%	138,396	139,985	1%	41,473	32,634	-21%	202,833	278,783	37%
Comarton	0	6,096	-	8,102	7,625	-6%	21,848	18,817	-14%	59,745	72,453	21%	0	0		89,695	104,991	17%
Marsh	46,204	45,742	-1%	11,866	17,631	49%	17,297	11,999	-31%	68,836	81,628	19%	23,158	26,802	16%	167,361	185,802	11%
ZIB	0	0	0%	0	44		29	9	-97%	107	117	9%	488	624	28%	624	794	27%
Totals	58,058	79,791	37%	19,968	58,649	194%	50,284	75,687	51%	267,084	294,183	10%	65,119	60,060	-50%	460,513	568,370	23%

Other assets refer to cash at the bank, debtors and all assets that are not recorded in their individual classes.

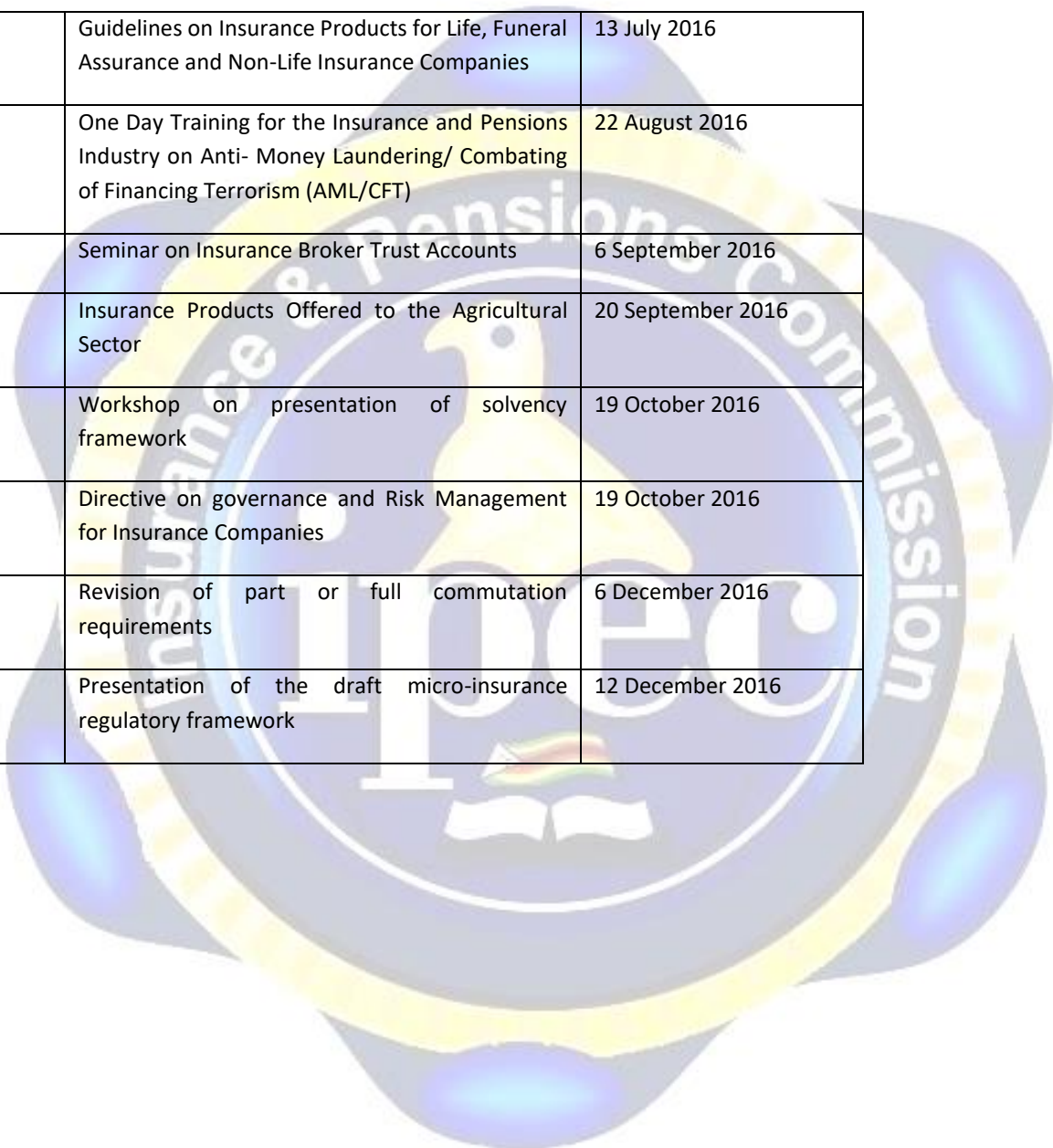
Figure 4: Fund Assets as at 31 December 2016 (\$000)



4.0 Summary of Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting its operations: -

Statutory Instrument Issued	Subject	Date Gazzeted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19 th February 2016
Statutory Instrument 25 of 2016	Insurance (Amendment) Regulations ,2016 Prescribed Assets	19 th February 2016
Circular Issued	Subject	Date Issued
Circular 1 of 2016	Investment Guidelines for Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements to Members of Pension Funds	4 March 2016



Circular No. 6. of 2016	Guidelines on Insurance Products for Life, Funeral Assurance and Non-Life Insurance Companies	13 July 2016
Circular No. 7. of 2016	One Day Training for the Insurance and Pensions Industry on Anti- Money Laundering/ Combating of Financing Terrorism (AML/CFT)	22 August 2016
Circular No. 8. of 2016	Seminar on Insurance Broker Trust Accounts	6 September 2016
Circular No. 9. of 2016	Insurance Products Offered to the Agricultural Sector	20 September 2016
Circular no. 10 of 2016	Workshop on presentation of solvency framework	19 October 2016
Circular no. 11 of 2016	Directive on governance and Risk Management for Insurance Companies	19 October 2016
Circular no. 13 of 2016	Revision of part or full commutation requirements	6 December 2016
Circular No. 14 of 2016	Presentation of the draft micro-insurance regulatory framework	12 December 2016

5.0 Prescribed Assets Update- 31 December 2016

Name of the Bond and Issuer	Purpose of the Bond and its salient Features	Uptake ratios
ZB Financial Holdings 2015/2016 Agro bills	✓ The target amount was \$5million at a coupon rate of 5%, ✓ intended to support the 2015/2016 agricultural season	\$4.716 million was raised from the pension and insurance industry only, indicating an uptake ratio of 94%. Repayments will be made on the 4 th of November 2016 and 19 th of December 2016
FBC & Agribank 2015/2016 Agrobills	✓ The target amount was \$20million at a coupon rate of 10%, ✓ intended to support the 2015/2016 agricultural season	A total of US\$20million raised from the market, representing 100% uptake of the Bills. Repayments to commence in June and will be fully paid in December. CLOSED
IDBZ Series 2 2014B (US\$50million)	✓ Refurbishment of Kariba South Power Station and Repowering of Harare Power Station. ✓ Bond has a tenor of 5 years at 9% coupon rate.	Bond fully subscribed as at 02 September 2016. Of the 50million raised, \$45.3million (90.6% of the total issue) was raised from the pension and insurance industry. CLOSED
Agricultural Marketing Authority (AMA Bills)	✓ Finance the purchase of grain by the Grain Marketing Board	Bond Fully repaid in June 2016. CLOSED

	✓ \$50million at a coupon rate of 10.5%p. a	
Homelink	✓ Development of stands and construction of housing units ✓ Initial bond amount of \$15m. However, the applicant is targeting to raise \$50million to complete the project.	No update at the moment on uptake
NMB	✓ A \$10 million bond issue, at an indicative coupon rate of 8% for a tenor of 5 years ✓ Purpose: Mortgage Loan facility for low income earners	Application was approved. No update from the issuer on its current availability.
Honde Hydro Power Consolidated	✓ Bond amount of \$5million with a coupon rate of 8.5% to 9%, with a tenor of 5years ✓ Purpose: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Application was approved on the 13 th of May 2016. No update from the issuer on its current availability.

IDBZ Series 1 2015B	✓ \$5million bond at a coupon rate of 9.5% with a tenor of 5 years ✓ Purpose: To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	Application was approved on the 13 th of May 2016. No update from the issuer on its current availability.
Agribank and FBC, 2016/2017 Agrobills	✓ Bond amount of US\$20million, coupon rate negotiable on private placement. ✓ Purpose: is to finance the 2016/2017 agricultural season.	Application approved on the 27 th of July 2016 and is now open for subscription. Available
Zimbabwe Electricity Transmission and distribution Company (ZETDC)	✓ Bond amount of \$15million at 7% per annum ✓ Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27 th of July 2016 and is now open for subscription. Available
Agricultural Marketing Authority (AMA) Bills being arranged by CBZ	✓ Bills issue of \$50million at a coupon rate of 8.5% for a tenor of 360 days. ✓ Government Guarantee as security ✓ Purpose: to capacitate GMB to procure up to 100,000 metric tonnes of maize and 22000 metric tonnes of wheat	Application approved on the 9 th of September 2016 and is now open for subscription. Available
Agribank 2016/2017 Agro bills	✓ US\$5million, with a coupon rate that is negotiable on private placement	Application approved on the 23 rd of December 2016 and is open for subscription. Available

	✓ Government Guarantee as security ✓ Purpose: is to finance the 2016/2017 agricultural season	
IDBZ Housing Bond (Empumalanga West Housing Project)	✓ Bond issue of \$5.8million at a coupon rate of 8.5% p.a with a tenor of 7 years ✓ Purpose: financing of the Empumalanga West Housing Project. ✓ Government Guarantee as security ✓	Application approved on the 28 th of December 2016 and is open for subscription. Available

Conclusion

The report highlights the major challenges for the industry continue to be arrear contributions, high expense ratios, low benefits in general. In light of these challenges, pension funds should always seek to meet fund objectives particularly pre-targeted income replacement ratios through better investment decisions, minimum cost structures and adhering to good corporate governance practices. Pension funds are also encouraged to have clear and transparent service level agreements with their service providers which promote the interest of Fund members.

